

Fama-French Factors

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Size, value and beyond-market returns

PROFESSIONAL DEFINITION

The Fama-French model explains asset returns using multiple factors beyond market risk — notably size and value, later extended to profitability and investment — showing returns have more than one systematic source.

WHO DEVELOPED IT

Developed by Eugene Fama and Kenneth French, beginning with their 1992–1993 three-factor model; Fama shared the Nobel Prize.

WHY IT WAS DEVELOPED

It was developed because the single-factor CAPM failed to explain observed return patterns associated with firm size and value.

FIGURE 1 · FAMA-FRENCH FACTORS



Figure 1. A schematic of the Fama-French Factors as applied in BARBM312 (illustrative).

HOW IT IS USED

Returns are decomposed into exposures to the factors; portfolios are constructed and evaluated by their factor loadings.

WHEN IT IS USED

When explaining returns, constructing factor portfolios and evaluating AI-generated strategies.

BY WHOM IT IS USED

Quantitative investors, analysts and academics.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It established multi-factor asset pricing, showing that returns reward several systematic exposures, not market risk alone.

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SOURCES (HARVARD REFERENCING STYLE)

Fama, E.F. and French, K.R. (1993) 'Common risk factors in the returns on stocks and bonds', Journal of Financial Economics, 33(1).
Fama, E.F. and French, K.R. (2015) 'A five-factor asset pricing model', Journal of Financial Economics, 116(1).